

Delinquent History of a Fictitious Auto Loan Owner: Customer #232431

Introduction

Customer #2324316, a 42-year-old IT consultant living in Columbus, Ohio, first took out an auto loan in March 2020.

Loan Origination and Early Payments

At the time of loan origination, the customer had a stable employment history, a credit score of 680, and no prior delinquencies.

First Signs of Delinquency

In April 2021, the customer missed the first payment due to unexpected medical bills for a parent, requiring temporary financial assistance.

Increasing Delinquency

By September 2021, the customer missed a second payment after a home repair expense and an unexpected loss of freelance income.

Collections and Communication

The collections team contacted the customer to review income and expenses. The customer reported taking on additional freelance work.

Temporary Recovery

From January to June 2022, payments were made on time. The customer adjusted finances, reduced discretionary spending, and increased income.

Relapse and Repossession

By August 2022, the customer missed payments due to prolonged illness and reduced freelance income. After several attempts at communication, the vehicle was repossessed.

Resolution Strategy

The customer contacted Riverbank in January 2023, citing ongoing medical recovery. A settlement plan was agreed upon, and the vehicle was returned.

Analysis and Lessons Learned

Customer #2324316 demonstrates how life events—medical emergencies, freelance income variability, and personal financial challenges—can lead to delinquency.

Conclusion

Auto loan delinquency often results from complex life circumstances rather than irresponsibility. Effective communication and flexible payment plans can help resolve such situations.